

BLOCK -3
INTERNATIONAL STRATEGY

BLOCK 3 INTERNATIONAL STRATEGY

International market entry methods are predicted on the internationalization approach that is followed. This block explains the process and various stages of internationalization, the importance of various models of internationalization and how they are helpful to a firm which plans to go global. It also deals with risk assessment framework, types of risks and risk management techniques that firms need to consider while investing in international markets. Finally it discusses the various entry modes, their advantages and disadvantages and the crucial role played by the governments in deciding either to restrict or support international business. This block has the following **three units**:

Unit – 6: Internationalization Process

Unit – 7: Evaluation of Market Risk Assessment

Unit – 8: Entry into the International Markets



UNIT 6 INTERNATIONALIZATION PROCESS

Objectives

After reading this unit you will be able to:

- explain the process of internationalization;
- describe various stages of internationalization;
- discuss the operating advantages and disadvantages of MNCs and
- understand the importance of various models of internationalization.

Structure

- 1.1 Introduction
- 1.2 Reasons for Internationalization
- 1.3 Stages of Internationalization
- 1.4 Operating Advantages and Disadvantages of MNCs.
- 1.5 Models of International Trade
- 1.6 Summary
- 1.7 Key Words
- 1.8 Self- Assessment Questions
- 1.9 Reference / Further Readings

6.1 INTRODUCTION

The new era of industrialization and supportive government policies resulted in expansion of boundaries and horizon of the companies. The aim of every firm is to move towards internationalization. Therefore, it becomes important to understand the process of internationalization. Internationalization is termed to be a process where business organizations get involved in international markets. Most of the business houses in contemporary world initiate their operations domestically and as they grow and start expanding they slowly internationalize resulting in thinning boundaries and changing landscapes.

This unit aims to help you explain the process of internationalization and the reasons for internationalization; describe the various stages and phases of internationalization; discuss the operating advantages and disadvantages of MNCs; and understand the importance of various models of internationalization.

6.2 REASONS FOR INTERNATIONALIZATION

Internationalization for most of the business is availability of a large but dynamic market involving severe competition. Reasons for internationalization are many and vary from organization to organization. Some of the reasons for internationalization are presented in Figure 6.1. Most of the organizations internationalize due to inadequate domestic

market, to achieve economies of scale and to avail multiple opportunities available in the international markets. Most of the organizations expand to new economies after becoming successful as internationalization is often used to reduce the cost of operations. Businesses with high overhead costs tend to cut down the costs that have deflated currencies and lower the input costs especially labour cost. Firms intending to internationalize look for countries with low cost of living which leads to low manpower cost and ultimately cheaper cost of production, thereby giving a financial advantage to the firm.,



Figure 6.1: Reasons for Internationalization

Let us now understand the broad reasons for internationalization in brief.

Diversification : It is entering into new and sometimes related industry for the growth and profitability of the business. Types of diversification include:

- a) Enter into new business or industry;
- b) Vertical integration involves of firm moving into new part of the value chain network;
- c) Mergers and acquisitions;
- d) Enter into new industries without the involvement of another firm.

Economies of Scale : Business organizations tend to expand globally and enter into trading internationally in order to achieve economies of scale when they enter into bigger international market from smaller domestic market. Depending upon the suitability, business may differentiate its brand, service or patented product and exploit a unique advantage. Focus in such case is usually to enhance the business opportunity of such unique product by customizing it for the foreign country.

International trade provides opportunities for the business to achieve economies of scale by taking up opportunities which provides better growth opportunities especially by entering into bigger markets with higher demand for its products when compared to its domestic market. Firms may seek to exploit its differentiating advantage viz., Product, Brand or Service with minor changes to suit the local markets of the host country.

Government Incentives : Some governments encourage foreign investment thus providing incentives to the Firms who want to invest directly through building manufacturing capabilities in the host country and also through institutional investment which provides business opportunities and enhances profits.

Market Growth : Expanding globally will increase profitability and expand business of the firm. The firm gets opportunity of increasing the size of the market thereby increasing number of customers.

Joint Venture Opportunities : International business provides opportunity to enter into business through joint ventures. The firm gets immediate access to a large customer base and distribution capabilities to reach them and also gets opportunity to share knowledge and technology.

Activity 1

Explain the reasons for internationalization.

.....

.....

.....

.....

.....

.....

6.3 STAGES OF INTERNATIONALIZATION

Most companies pass through different stages of internationalization. There are, of course, many firms which have international business since the beginning, including hundred percent export-oriented firms. Even in the case of many of the hundred per cent export-oriented firms, the development of their international business would pass through different stages of evolution.

A firm which is entirely domestic in its activities normally passes through different stages of internationalization before it becomes a truly global one.

There are many firms which enthusiastically and systematically go international as part of their corporate plan. However, in the case of many firms the initial attitude towards international business is passive and they get into international business in response to some external stimuli. A firm may start exports on an experimental basis and if the results are satisfying in due course it would establish offices, branches or subsidiaries or joint ventures abroad. The expansion process may also be characterized by increasing the product mix and the number of market segments, markets and countries of operation. In this process the company could be expected to become multinational and finally global.

Many experts have given different views on stages of internationalization. For our understanding we will consider the following stages of internationalization. There are basically five stages of internationalization and these are:

Stage 1: Domestic Operations

Stage 2: Foreign Operations (export)

Stage 3: Joint Venture or Subsidiaries

Stage 4: Multinational Operations

Stage 5: Transnational Operations

In short, in many firms overseas business initially starts with a low degree of commitment or involvement; but they gradually develop a global outlook and embark upon overseas business in a big way.

Stage 1 : Domestic Operations - The Firm is said to have a domestic market if it purely confines its operation in the home country. Most of the international firms initiate their operations as domestic firms. Most of the international firms originated initially as domestic firms. Domestic firms usually have ethnocentric orientation because at the very initial stage they do not consider going international as an option for its growth. The firm continues with its national model of operation for some time and when the growth gets stagnated, it expands and diversifies to new markets within the home country instead of focusing on the international markets. However the diminishing prospects in the domestic market and increased opportunities in the international markets encourage the firm to redevelop and fine tune its strategies to explore international market opportunities and the firm moves to the next level in the evolution and market its products to foreign markets through suitable internationalization technique viz., direct exports, franchise and licensing.

Stage 2 : Foreign Operations (Export) – In this stage the firm expands its market through sales efforts and the production done in the domestic market. Firm expands its market to other countries through sales effort and retains the production facilities in the domestic market. For examples Indian firms export nuts spices textiles, Jute and Rice all around the world. Domestic firms being ethnocentric start its internationalization by initially involving in just exporting goods to the foreign countries which has high demand.

Stage 3 : Joint Ventures or Subsidiaries - Subsidiaries or joint ventures are the business agreements in which firm physically transfers some of its operations out of its home country and establishes in a foreign country. The firm in this agreement goes for a mutual cost and profit sharing and management involved with a firm which is existing in the host country. Firm then moves from international operations being in the home country to investment expansions in the foreign country moves to a stage from international to Multinational and Transnational firms.

Stage 4 : Multinational Operations - In this stage a firm becomes a full-fledged multinational corporation (MNC) with multiple production facilities established across the several locations in the world. An International firm demands a greater degree of decentralization in decision making though important decision in this system is always taken at corporate head quarter. These firms operate worldwide and the orientation of the firm shifts from ethnocentric to polycentric. A multinational firm decides to respond to market differences vis a vis social, cultural and legal requirements and evolve as a stage three MNC which pursues a multi domestic strategy. In

MNCs each foreign subsidiary is managed as an independent entity. The subsidiaries are a part of regional structure in which every country has its own organization and reports to world head quarters.

Stage 5 : Transnational Operations -Firms which achieve global efficiency and local responsiveness are called as transnational firms. These firms are highly decentralized in terms of decision making. Every transnational business unit has freedom to take its decision with very minimal control from corporate headquarters. However, there is no pure transnational firm and these firms satisfy the characteristics of the global corporation. Table 6.1 gives a brief about the firm attributes at different levels.

Table 6.1: Attributes of the firm at different levels

Attributes of Firm/ Type of Firm	Domestic	International	Global	Transnational
Strategy Model	Purely Domestic	International coordinated federation	Global centralized hub	Global integrated network
View of the world	Home country	Extension markets	Global markets or resources	Global markets and resources
Orientation	Ethnocentric	Ethnocentric	Mixed	Geocentric
Key Assets	Located in home country	Core centralized Others dispersed	All in home country except marketing or sourcing	Dispersed interdependent and specialized
Role of country units	Single country	Adopting and leveraging competencies	Marketing or sourcing	Contributions to firms worldwide
Knowledge	Home country	Created at center and transferred	Marketing developed jointly and shared	All functions developed jointly and shared

6.4 OPERATING ADVANTAGES AND DISADVANTAGES OF MNCs

Multinational Corporations (MNCs) by themselves have couple of distinctive pros and cons with respect to their operations which differentiate them from firms which operate domestically. Some of the firms have the capability to internationalize efficiently and overcame disadvantages and capitalize on the internal advantages to a larger extent as suitable to the type of individual corporations and the type of business involved.

A. Operational Advantages of MNCs

Superior Technical Know-how : Improved technical knowledge is the most important advantage MNCs enjoy. These firms have access to better

technology either self-developed or acquired by the firm in the areas of Management, Operations and Production.

- (i) **Large Size and Economies of Scale** - MNCs being very large in size have the advantage of economies of scale. Volume of production reduces per unit fixed cost and ultimately reduces the cost of production making the product more competitive and easily saleable in the market. This situation is specifically true in capital intensive sectors viz., Steel, Petrochemical and automobile.
- (ii) **Lower Input Costs Due to Large Size** -Multinationals as a result of large production levels purchase raw materials in bulk and thus, able to bargain with the suppliers for a lesser price and also obtain substantial amount of price advantage as a result of bulk buying.
- (iii) **Ability to Access Raw Materials Overseas** -MNCs are capable of reducing production costs by reducing input costs through procuring raw materials from countries where they are abundantly and cheaply available.
- (iv) **Ability to Access Raw Materials Overseas** -MNCs are capable of shifting their production to other countries and thus enhance their international competitiveness.
- (v) **Economies of Scale for Shipment, Distribution, and Promotion Costs**- MNCs attain lower costs for Shipment, Distribution and Promotion as they deal with large volume of freight. Because of sizeable amount of business these firms are in a position to negotiate for lower rates with the service providers. Large corporations especially firms dealing with petroleum justify purchase of their ownership due to the huge transport requirement they have. Therefore they are not in a position to depend on third party service providers and show self-owned transport as an effective method to reduce cost. Large volume of production also leads to lower promotion and distribution costs. These organizations charge lower tariffs for distribution across countries and still make profits as a result of large scale operations. MNCs also get ads for a lower tariff as they have huge ad-spend budget which helps in a lowering their accrued cost of promotions and advertisements.
- (vi) **Brand Image and Goodwill**- Many of the MNCs possess product lines that have established a good reputation for quality, performance, value, and service. This reputation spreads abroad through exports and promotion, which adds to an MNC's arsenal of potent weapons in the form of brand image or goodwill, which it is able to use to differentiate its own products from others in its genre. MNCs are able to leverage this goodwill or brand image by standardizing their product lines in different countries and achieving economies of scale. For example, Playstations do not have any special modifications for different countries (except for voltage) and the home-based plant churns out standardized products for the world market.

Access to Low-Cost Financing - MNCs are large scale organizations and require large amount which they procure from the financial institutions at comparatively lower rates. They borrow huge money at lower rates because

banks find them more dependable in terms of lending and recovery of the debts. Low cost of capital also adds to the financial strength of these organizations.

Financial Flexibility - MNCs can shift their manufacturing facility and profits to low tax locations have an advantage of shifting their profits to low tax locations. This financial leverage is used by MNCs to lower the cost of manufacturing and reduce price of the produce directly benefiting the end user. This transfer of manufacturing facility to low cost location also helps the firms to enter into new markets and increase market share of existing ones.

Information Advantages - MNCs as an outcome of operating in various international locations tend to have in depth knowledge of markets worldwide which enables them to collect, process, analyse and exploit global resources. They have knowledge to explore new market openings for existing products and new products to meet current and potential market requirements. MNCs are capable of expanding and diversifying market coverage of the products they manufacture and accordingly design strategies to counter marketing efforts.

Availability of information about changing market and economic condition, demographics, social changes and other business environment factors as a result of their information network makes them more efficient and can appropriately respond to contingencies and exploit opportunities.

Ability to Offset Risk as a Result of Diversification - MNCs are simultaneously present in different countries which permits them to efficiently bear risks emerging out of cyclic economic declines. Generally these cycles are country specific and not the same in all the countries at one point of time. Thus Losses in one country can be offset by gains in other countries.

B. Operational Disadvantages of MNCs

Business Risks - MNCs come across serious unforeseen risks than the firms which are entirely domestic in nature. This is because they carry out business in multiple countries. These firms deal with foreign exchange and as a result the biggest risk they face is fluctuation in foreign exchange which directly affects their profit margins.

Regulations in the Host Country - MNCs while operating in different countries face difficulties due to varied regulations in different host countries. In many cases these regulations vary significantly from country to country. MNCs face tough task in understanding and familiarizing themselves with varied and dynamic regulations of different countries. Adhering to these regulations require modification in its operations to ensure that it does not overstep them.

Different Legal Systems - MNCs are bound to operate under the different legal systems of different countries. Some countries have very cumbersome legislative and judicial processes and may contain certain nuances which are not easily understood by non-natives. Some legislation may prohibit certain business operations which are otherwise very normal in the home country.

Political Risks – Political risks as a result of change in government and other factors are inevitable for the MNCs. Host countries being sovereign entities and their actions normally may not admit any appeals. Political risk is usually high in the countries where government is unstable and tends to change frequently.

Operational Difficulties - Multinational corporations operate in varied business environment which create lots of substantial operational hurdles. Market conventions and business practices which are not clearly written and mentioned might prevail in the host country and MNCs may lack familiarity with such conventions and thus, conducting business in the host country may appear difficult in accordance to them. Sometimes methods of operation in the host country may be quite contrary when compared to the home country of MNCs.

Cultural Differences - MNCs also face difficulties as a result of the cultural differences and many a times their expatriate executives are not able to perform well as they are not able to calibrate professionally and personally to the new culture of the host country. Inability to understand and respond appropriately to local culture may often lead to product failures and problems in dealing with business associates, government officials and local customers.

Activity 2

1. Describe a domestic firm giving example.

.....

.....

.....

.....

.....

2. Briefly explain the disadvantages faced by MNCs.

.....

.....

.....

.....

.....

6.5 MODELS OF INTERNATIONAL TRADE

Models of international trade have brought to the forays many diverse dimensions comprising of international environment and the firm which act as conglomerates that portray various conditions and situations. Internationalization is a reflection of extraordinary diversification of a firm and is systematically revealed and presented by researchers with the help of various models. These models depict the main components and mechanism of international activities firms should take at a moment.

Frank Bradley (1995) suggested that main model of internationalization depends on product life cycle, foreign direct investment and transaction costs. Sorensen classified international trade as follows:

- (i) Progressive Models- *Product Life Cycle Model, Uppsala.*
- (ii) Contingency Models-REM, *The Transaction Cost Model, The Eclectic Model*
- (iii) Interactive Models- *Business Network Model*

Uppsala model is one of the most popular model (Svend Hollensen, 2004). Rubaeva(2010) mentioned that Transaction Cost Model, International Business Network Model and Globalization Models are more scientific and also dealt with two more additional models i.e., REM and Eclectic Models.

Life Cycle Model of International Trade (1966)

Vernon (1966) introduced product Life Cycle Model of international trade. This model highlights that internationalization is closely related with the product life cycle. Producers in developed countries are closer to markets than producers from other developing countries resulting in the initiation of production facilities to begin in developed countries. Increase in demand leads to mass production allowing economies of scale and decrease in cost of production. Life cycle theory suggests a stage division of internationalization process of a firm as mentioned below

- The Stage of the New Product
- Stage of the Mature Product
- Stage of the Standardized Product

International Product Life Cycle Model (IPLC) is intended to advance trade theory beyond David Ricardo's static framework of comparative advantage. Author in this model came up with an experiment of simple economic benefits to any country engaged in international trade even if the firm is able to produce all products at lowest possible cost does not appear to have any need to enter into international trade.

Vernon focuses on the dynamics of comparative advantage in trade and drew inspiration from the product life cycle to explain the change in trade patterns over time. Through this model the author presented that international trade is advantageous for a country which specialize in product categories with highest added value and are capable of producing such products at low cost and allow its workforce to specialize.

According to this model a local manufacturer in a developed country starts by selling a new technologically advanced product to high income group consumers in its home country market. To start with the firm wants to reduce risk and uncertainty by targeting local consumers. As demand for the product starts increasing from the consumers in other markets the production capacity is increasingly shifted to foreign countries enabling the firm to maximize production and get the advantage of economies of scale and bypass trade barriers. As the product reaches the maturity stage the competition increases and it becomes more of a commodity. Towards the end the innovator of the developed country becomes challenged in its own home market and makes the developed nation which actually developed the product a net importer of the product. This product is then produced by competitors in lesser developed countries or if the innovator has developed into a MNC it may get manufactured in its foreign based production facility.

International trade cycle consists of three stages (Figure 6.2).

1. New Product

A firm in a developed country wants to exploit a technological breakthrough by launching a new innovative product in its home country market. Usually new products are expensive because of the nature of innovativeness and cost involved in creating such a technological innovation. This can only be afforded by high income consumers and take the risk of spending on a newly developed expensive product (Low Price Elasticity).

Developed countries provide easier access to capital markets enabling the firm to invest in developing innovative new products. The production started locally also minimizes the risk and uncertainty. At this stage of the cycle export to other countries may occur that allows the innovator to increase revenue and to increase the downward descent of the products' experience curve. Consumers in advanced countries with similar desires and incomes make export easy and it is the first step in internationalization effort.



Source: Adapted from Vernon (1966)

Figure 6.2: International Product Life Cycle

2. Mature Product

At this stage the product is exported to markets in other advanced countries further increases through time making it economically possible and politically necessary to start local production. Design of the product and process at this stage becomes increasingly stable. FDI in production reduces the unit cost of production because of the reduction in labour and transport cost. Offshore production facilities are meant to serve local markets and substitute exports from the home market. Production at this stage also requires highly skilled and high salaried employees. In non-domestic advanced countries local firms enter and increase competition and export orders start coming from lower income countries.

3. Standardised Product

During this phase of the product life cycle principal markets become stagnated and the innovators competitive advantage based on functional

benefits get eroded. The firm starts to focus on the reduction of cost of production instead of adding new features of the product as a result the product and production process become increasingly standardized resulting in further economies of scale and increases the mobility of manufacturing operations. At this stage labour is replaced by capital, there is optimum utilization of factors of production and economies of scale is fully utilized. The principal difference between two locations now is only the cost of labour.

In order to counter price related competition and barriers of trade or just to meet local demand production facilities are now relocated to countries with lower incomes and lower cost of production so that they can be cost effective and produced at lower price to meet the requirement of people living in countries with lower incomes. Local competitors like previously in advanced countries will get access to first-hand information and can start to produce a similar copy of the product and sell.

The demand for the original product now dwindles in the domestic country because of the arrival of new technologies and other established markets which becomes highly price sensitive. The market which is left and not covered gets shared between competitors who predominantly are international. A MNC will internally maximize off shore production to countries which has low cost of labour as a result the domestic market and will have to import relatively capital intensive products from low income countries. The machines that operate these plants remain in the country where the technology was first invented. In a nutshell it can be concluded that at this stage which is the third stage of life cycle model firms explore new market opportunities when the product reaches maturity and decline and thus the firms move to new countries and new markets. At this stage of life cycle firms relocate their production facility to developing countries and from there source it to the counties based on the demand. Transition from one stage to other stage of the product life cycle offers two advantages that are knowledge and cost reduction.

Developing and developed countries clearly explain these gaps and portray the difference in cost of production. Firms emerging from developed countries use licensing, subcontracting, franchising and acquiring in the countries with cost differentials and provide cost advantages. In a nutshell, transferring production to developing countries helps the firm in reducing the cost of production. For example X Firm is now producing all its products in China and sourcing it to every part of the world based on the demand.

Uppsala Internationalization Model (1977)

Johanson and Wiedersheim-Paul, 1975; Johanson and Vahlne, 1977 from Uppsala university in Sweden developed a model of internationalization named Uppsala Internationalization Model which focused on the process of internationalization. In their research study author's studied some of the manufacturing firms in Sweden and developed a model of the firms choice of market, Researchers studied the patterns in the various internationalization process and noted the following-

- Most of the firms started their international operations from the nearby market and neighboring countries.

- Exporting is the initial mode of entry.
- Organizations are not found to be entering into foreign markets with sales organizations and manufacturing subsidiaries of their own.
- After several years of exports to the same markets organizations invest in wholly owned or majority owned operations.

Johanson and Wiedersheim- Paul (1975) stated the difference between four different modes of entering into international market and successive stages that represent higher degree of market commitment and international involvement.

Stage 1 – Sporadic export (Irregular exporting)

Stage 2 - Export modes (Exports through independent representatives)

Stage 3 - Establishment of foreign sales subsidiary

Stage 4 - In this stage the firm enters into a foreign market through production and manufacturing units.

Evidence from case studies conducted in four Swedish firms indicate that internationalization develops gradually. The sequence of stages was confined to specific country market.

Market commitment according to this model comprises of two factors:

1. **Amount of resources committed-** Operationalized or amount of investment in the market through investment in marketing organization and personnel.
2. **Degree of commitment-** Difficulty of finding an alternative use of resources and transferring them to the alternative use.

International business needs knowledge of the specific business and market which can be gained through experience and higher degree of involvement. Operational efficiency in these markets can be gained through experience in the business and can be transferred from one country to another country. Operational efficiency can be gained through experience and can be transferred from one country to another country. Direct relationship between market knowledge and commitment is found to exist.

Key Features of Uppsala theory are-

- Knowledge is initially gained in the home market before moving to the international markets.
- Initial overseas operation in the organization is started from geographically, culturally and religiously close nations and slowly is expanded towards diverse nations and far away countries.
- Most of the organizations initiate internationalization by making use of export facility which is less risky when compared to investment models and then slowly when they find themselves successful in the export venture, operational modes like sales subsidiaries and manufacturing facilities are started.
- Investing in manufacturing facilities in all markets is an objective of the firm but takes considerable amount of time to start with.

Market commitments are made in small incremental steps selecting geographic markets convenient to explore with narrow psychic distance in combination with choosing entry modes with less additional risks.

Contingency models

REM

REM is a three -factor model comprising of stages of decision making in a firm.

R = Reason for internationalization (Business environment factors i.e. internal and external environment factors).

E = Conducive environment factor

M = Mode of entry

Reason or R factor

Proactive Reasons	Reactive Reasons
Financial goals	Competitive pressure in the domestic market
Uniqueness of the product and competency levels of the firm	Saturated and small domestic market resulting in decline of sales
Economies of scale	Excess capacity to produce and overproduction
Cost reduction	Unsolicited foreign market orders
Market opportunity and information pertaining to the foreign country.	Proximity to international market
Managerial interest	Psychological distance
Access to resources required for venturing into foreign economy.	

Source: Hollensen, 2008, p. 35; Popa, 2001, pp. 14-16.

Environment or E factor

Firms choose to venture into the countries nearby in the initial stage of internationalization because of ease of understanding the business environmental factors and thus, reduce the risk and uncertainties. Geographical distance also creates a difference in the economic factors viz., per-capita income and standard of living of the country which affects business.

Mode of entry or M factor

Mode of internationalization is subject to impact of factors which influence viz., objective of internationalization Cost of entry, profitability, Commitment variables like objective of internationalization, cost of entry, profit expected, and degree of commitment, control mechanism, benefits of Investment and risk involved in the investment.

Transaction Theory

Coase (1937) developed a theory which is the foundation of the Transaction Cost Analysis (TCA) model. The theory behind this model takes the cost as an important component in decision making. Author argued that a firm will tend to expand until the cost of organizing an extra transaction within a firm will become equal to the cost of carrying out the same transaction in the open market. This predicts that a firm will perform internally all those activities it can undertake at a lower cost through a system of efficient internal management control systems while the same firm relies on independent outsiders viz., intermediaries, agents or distributors for a low cost advantage. Transaction costs emerge in situation when markets fail to operate under perfect competition (friction free). The cost of operating in perfect completion market results in zero transaction cost and there would be little or no incentive to impose any impediments to free exchange and trade. However, in reality there is always some friction between buyer and the seller resulting in transaction cost. The friction between buyer and seller is explained by opportunistic behavior. The Transaction Cost Analysis (TCA) framework states that cost minimization explains structural decisions. Firms internalize, that is, integrate vertically, to reduce transaction costs.

Transaction cost is further divided into different types of cost related to transactional relationship between the buyer and the seller. The equation presented below provides the description of the cost elements in the TCA equation.

$$\text{Transaction cost} = \text{ex-ante costs (search costs + contracting costs)} + \text{ex-post costs (monitoring costs + enforcement costs)}$$

TCA theory is built on the assumption that the firm internationalizes until the transaction cost in the firm balances with the cost of the same transaction based on the market (Hollensen 2008). Transaction cost evaluates the divergent interests and opportunistic behavior of exporter's decision about internationalization and is taken after proper analysis of the transaction costs. The results of the analysis state that if the cost of transaction in the foreign market is lesser than the cost of the firm when they are only operating internally the firm will opt for internationalization and will try to have business relationship with foreign partners via licensing, exports, subcontracting and joint ventures.

The key features of the Transaction Cost Theory are:

- It primarily focuses on costs incurred by a firm and its effect on the firm's market choice and modes of entry to international business.
- It believes organization structure as a single important arrangement for establishing and safeguarding transactions and reducing its costs between nations across national boundaries of the firm.
- Transaction cost covers all the costs of enforcement i.e. information search about a product and foreign market, buyers, producers and sellers and negotiation costs across boundaries and monitoring.

The Eclectic Model

Eclectic Model developed by Dunning explains conditions appropriate for internationalization of the firm via foreign direct investment (FDI) and not through exports. This model proposes the suitability of conditions for FDI. The author gave a three factor theory i.e. OLI to explain the suitability of the firm to enter through FDI. The abbreviation of OLI given and explained below.

- O (Ownership advantages)
- L (Location advantage)
- I (Internalization advantage)

Ownership advantages (O) – explains the ownership advantage in this model and talks about the benefits of ownership. The firm is expected to have advantages of ownership when compared to other firms in various foreign markets.

These advantages could be factors of production viz., resources and technical assets of the firm. Ownership advantages could be found in two groups as asset advantages and transaction advantages. Asset advantages include product innovations, property rights, employees experience, organizational and marketing system, production management know how and others. The transaction advantages may result from economies of scale, supply of mixed resources, capacity utilization of better resources, availability of inputs, and resources of Mother Firm at marginal costs.

These advantages provide greater opportunities and benefits following the shifting of manufacturing process abroad.

Location Advantage (L) - is a factor in the market that explains immobility of the characteristic at international level. Location advantage emerge as an outcome of the economic GAP between countries which benefits the host country for foreign direct investment. Resources for location advantages are because of certain input factors based on price, quality and efficiency of materials, resources, labour and energy. Outputs depending on real conditions of the market infrastructure (airports and communications, legal, educational, business environment and psychic distance resulting in proximity viz. a viz. language, culture and business acumen, structure due to economic system, government policies, investment incentives, resource allocation and institutional framework.

Internationalization Advantage (I) - Internationalization advantage is a transaction attribute which emerge as an ownership advantage and become private property when they are transferred outside the firm. Firm prefers to capitalize its ownership advantage by investing and minimizing the transaction cost of inter-firm's knowledge and competency transfer. Process of the investment evolution is the main element of Eclectic model. This model depends on five stages of development process as mentioned below.

1. Pre-industrial stage - (Lacks FDI, small investment attraction only exists and the internal advantages of the national firms are not enough for input and output of the direct investment. Domestic market depends on low incomes, absence of necessary infrastructure and

authority along with lack of economic and political stability resulting in less advantages.

2. The second stage is linked to the first one because the role of the government in attracting FDI is dismal. Legal system and business infrastructure is created at this stage to create a favorable investment environment. The flows of FDI intensify and the focus is particularly in industries with resources, production industries with intensive labour in sales, distribution, transport and construction.
3. Middle stage has to replace cheap foreign investment as main vehicle as a result of the fact that location advantage is an outcome of that created in the second stage.
4. The last two stages in the investment outputs develop as the firm attains a certain degree of maturity. The foreign firms intend to use O advantages to get new assets in the market.

According to this theory FDI is useful if the firm has the advantages of OLI and if it lacks L advantage its ideal for the firm to go for exporting and licensing to enter into foreign markets. According to this theory the firm has to have all the three advantages to be successful in the foreign market through FDI.

Interactive Models

The interactive models believe that market is formed from a set of anonymous actors interacting continuously to have long term business relationships resulting in long term business network. The model of business network of the firm is a major incentive of internationalization of the firm which produces resources interacting with their partners. The firms networking for the business can be individually independent and dependent on the resources controlled by the firms. Increase in the degree of dependence means that the firm is more dependent on the resources of other firms for the benefit of all parties. According to this model business network works throughout exchange relationships. The position of the firm inside a network is a key concept of the network model. Following three strategies allow a firm to internationalize.

- Extension when the firm has relationships with firms and networks in new markets.
- Penetration - If the firm intends to deepen its relationships as a part of existing international networks.
- Coordination by improving existing relationships inside various networks in different markets.

Activity 3

1. State the key features of Transaction Cost Theory.

.....

.....

.....

.....

.....

2. According to Interactive Model what are strategies that allow a firm to internationalize?

.....

.....

.....

.....

.....

6.6 SUMMARY

International trade theories intend to explain motives of the firm for trade and the benefits of international trade. Different models highlight different important factors of international business. Uppsala model focused on the process of internationalization while the life cycle model of international trade is a model based on the stages of the product life cycle and identifies the suitability time for a firm to internationalize. This model insists that maturity stage is the right time to internationalize as market for the product gets stagnated and it's the right time to look for new opportunities. TCA model is more from the cost perspective of internationalization and OLI model highlights the conditions of internationalization. Each model discussed in this unit is unique in its own way and helps a student in understanding a typical scenario in which a firm tends to explore international market.

6.7 KEY WORDS

Diversification: Entering into a new and sometimes related industry for the growth and profitability of the business.

Economies of Scale: A proportionate saving in costs gained by an increased level of production.

Joint Venture: A business arrangement in which two or more parties agree to pool their resources for the purpose of accomplishing a specific task.

Internationalization: The process of increasing involvement of enterprises in international markets.

Domestic Firm: A firm that conducts its affairs in its home country.

Exports: Goods and services produced in one country and purchased by residents of another country.

Subsidiary : A company controlled by a holding firm.

Multinational Corporation (MNC): Worldwide enterprise is a corporate organization that owns or controls production of goods or services in at least one country other than its home country.

Global Firm - A global firm is the one which has a global presence comprising of strategies to market its products globally by manufacturing them in the home country or produces its products by investing in production capabilities abroad and marketing these in the home country.

Transnational Firms - A commercial enterprise that operates through substantial facilities in more than one country and does not consider a particular country as its national home.

6.8 SELF- ASSESSMENT QUESTIONS

1. Comment on the need of continuous evaluation of internationalization as a process in any economy.
2. Explain the main differences between the three theories of internationalization: the Uppsala Model, the Transaction Cost Theory and the Eclectic Model.
3. Explain OLI with a suitable situation in an industry.
4. Explain the reasons for the firms to enter into internationalization of business.
5. What is a Multinational Corporation (MNC)? Explain briefly the operating advantages and disadvantages of MNCs.

6.9 REFERENCES / FURTHER READINGS

Trevor Buck, The Process of Internationalization, Palgrave Macmillan, 2004.

Anders Blomstermo, D Deo Sharma, Learning in the Internationalization Process of Firms, Edward Elgar, 2003.

Mats Forsgren, Managing the Internationalization Process (The Swedish Case), Routledge, 1989.

Nadine Tournous, Philippe Very, Open Internationalization Strategy, Routledge, 2021.

Laura Schmiede, The Internationalization Process of the Tata Group, GRIN Verlag, 2017.

Krzysztof Fonfara, Bartosz Deszczyński, Adam Dymitrowski, Miłosz Luczak, The Development of Business Networks in the Firm Internationalization Process, Poznan University of Economic Press, 2012.

UNIT 7 EVALUATION OF MARKETS AND RISK ASSESSMENT

Objectives

After reading this unit you should be able to:

- understand the risk Assessment Framework of international trade;
- discuss various types of risk with reference to political, economic and business risks;
- identify the causes of risk; and
- analyse the risk management techniques.

Structure

- 7.1 Introduction
- 7.2 Political, Financial and Economic Risks in International Business
- 7.3 Risk Assessment
- 7.4 Causes of Risk
- 7.5 Risk Management Techniques
- 7.6 Summary
- 7.7 Key Words
- 7.8 Self-Assessment Questions
- 7.9 References / Further Readings

7.1 INTRODUCTION

A firm which wants to consider investing abroad weighs potential advantages and disadvantages against the risks. Corporates are supposed to do an in-house analysis to evaluate and identify key factors for the firms to consider while investing in new international markets. There are several important factors to be considered by the firms prior to venturing into a foreign country which include political, financial, economic and business risks.

7.2 POLITICAL, FINANCIAL AND ECONOMIC RISKS IN INTERNATIONAL BUSINESS

Political Risk

International business starts primarily by understanding the stability of the government in the country before entering into any kind of business agreement. All the member nations of WTO (world trade organization) are committed to free trade but there is an element of protectionism. Tariffs and quotas are used as restrictions in foreign trade and international business. Export / import licenses, customs duties and laws regulating currency control are the important factors which need to be understood before venturing into any kind of business with other countries. Each country has different legal and political system which has to be clearly understood before any international business or trade is planned.

Financial Risk

International trade faces risk of fluctuation in the forex exchange rates. The firm in this circumstance has to protect itself against losses due to fluctuation in exchange rates. Domestic business on the other hand deals with only domestic currency thus, does not experience such financial risk. Managing international trade requires extra precautions regarding the payments to be made in international currency or dollars. Firms having buyers in foreign countries have to take necessary steps and get assurance that the payment will be made as per the agreed terms and conditions. Foreign credit, Insurance, Letters of credit can alleviate much of the risk of selling products in overseas markets ensuring sufficient information and knowledge about the buyer's credibility and ability to pay.

Economic Risk

There are several economic issues that are to be dealt with while a firm engages in international operations viz., precautions need to be taken to ensure timely delivery of raw materials or any product which is to be procured from another country as any delay in the supply might hamper the production process and escalate the cost.

Geographic and economic conditions of the country creates a lot of international barriers which are to be given due consideration while making any business plan dealing with international business. Economic instability of a country is considered to be a major issue when the international business involves third world nations. Lack of necessary infrastructure, economic plans and economic condition of the population living in those countries, per capita income and other economic environment factors affect the success of international business involving these countries.

Activity 1

1. Identify the various types of risk in international business and give one example each.

.....

.....

.....

.....

.....

7.3 RISK ASSESSMENT

Different countries portray different business contexts with new sources of opportunity and risk. The management priority in such circumstances is to fully assess the risks as well as the potential rewards before investing in new foreign markets. Major political changes in China and India in the early 1990s, for example, opened up these economies for foreign investors. They had always been attractive markets, but also were made accessible. However, the high level of control still held by these governments over their economies, combined with the continued uncertainty regarding political change, resulted in a high level of political risk for investors.

Risk assessment in a foreign trade is a two stage process. The first being riskiness of the host country as a place to do business and the second one is the risk involved in the particular type of investment. An investment can only be made if the level of both the risks is manageable and acceptable.

- a) **Assessing Country Risk**- Country risk is a broad measure that focuses on the riskiness of the country as a whole and as a place for MNCs to conduct business. One prime time consideration is the level of current and future political stability of the country. A stable country obviously provides better business environment and opportunities to the MNCs to conduct business. Assessment of political conditions is made by gathering relevant information from several sources viz., national and international media, diplomatic assessments or professional agencies that specialize in monitoring development in certain countries.

There are some professional agencies which develop ratings for different types and degrees of risk in various countries with regard to foreign direct investment by MNCs. These ratings are developed by assigning weights to different political, social, and economic factors that could lead to political instability and disorder. These weights are then added and averaged according to a particular formula to arrive at a final rating of a country's level of risk. This system consists of arbitrary assignment of weights thus having a strong element of subjectivity in the analysis where dependability is questioned. General phenomena is that western countries being industrialized countries carry low level of risk and the yet to develop and low-income countries are riskier. Exceptions to the case being countries with larger middle income group population because these countries are prone to socio-political turmoil and carry an even greater risk than some of the lower-income countries.

- b) **Assessing Investment Risk** - Initiating the risk assessment is to start with assessing the risk attached to making investments and investigating the attitude of the host government with regard to similar investments made by other MNCs. The existence of local lobbies and the influence they exert on the government is a useful indicator of investment specific risk. Powerful local lobbies specific to an industry imply higher risk - tax structures, industry standards, government discrimination, ownership and management requirements, repatriation conditions, export obligations and local constraints should be considered to understand and assess investment risk.

7.4 CAUSES OF RISK

Now let us understand the inherent causes of risk.

1. Economic Objectives

Difficulties in the balance of payments faced by the host countries might seek to protect its resources especially foreign exchange by increasing the inflow of forex and reducing the outflows by encouraging foreign investment and exports. The governments in these countries channelize efforts to optimally utilize foreign resources by imposing

restrictions on profits, royalties and dividends to be repatriated by a multinational corporation to its home country. Government of a country may decide to restrict exports and imports and implement an admissible time lag between the two which might interfere with the balance of payments and lead to lagging strategy of a firm devised to manage finances and avoid exchange and interest rate risks.

2. Monetary and Fiscal Policies

Monetary and fiscal policies of a host government may not match with the expectation of an MNC. For instance, if the host country is facing inflationary conditions it might want to increase the bank interest rates while lending and directly affect the profitability as the cost of the production will go up with the increase in the cost of capital. The banks may be instructed to maintain ceilings on the borrowings to prevent excessive money flow in to the economy of the host country. The MNC on the other hand would be keen on retaining their own finances to meet its requirement and circumvent these ceilings which might result in creating displeasure of the host country's government and result in the risk of further punitive action. Fiscal policies followed by the host government may not be favorable to the MNCs. The host government might be interested in extracting more tax from the firms while the MNCs might be interested in saving tax which is quite contradictory to the government's policy and interest. Increasing taxes is a major cause of concern and risk for MNCs because it will affect the net profit of the organization.

3. High Taxes

Increasing taxes from the host government especially levied on the MNCs is a major threat while operating overseas. Most of the countries in order to protect their internal business organizations from competition and get a larger share of the foreign exchange, levy heavier tax on repatriable portions of an MNC's profit in addition to the other corporate taxes. Host country might implement a particular level of foreign exchange rates to meet its economic interest, however it's very demotivating for the MNC as there is an artificial distortion in the amount of funds to repatriate which adversely affects its profitability.

4. Economic Development and Industrial Policies

Governments through the industrial policies would sometimes want to develop underdeveloped areas in the country which are geographically inaccessible, lack proper infrastructure and economically not feasible which pose serious threat to the MNC. In order to promote domestic small and medium size industries host countries sometimes tend to provide subsidies and other monetary and fiscal benefits which is not extended to other manufacturers which makes the other manufacturers less competitive. Some countries restrict entry of MNCs to specific areas and do not extend marketing and sales support through government which is otherwise given to manufacturers from the home country which is highly demotivating for the MNCs and poses threat to even their survival in the country.

Some industries are declared as core industries and are prohibited for entry because they might foresee a security threat to allow entry of MNCs into such areas as the government feels risk of security threat and endanger national security and might hamper the ability of the government to frame independent foreign policy.

5. Colonial Heritage

Many host countries were under colonial ruling in the past and have later gained independence. The colonial era is marked by complete domination of foreign rulers and economic domination by foreign firms. Having bad experience with foreign dominance, these host countries develop policies to discourage foreign firms, assuming that these organizations are only for profit and tend to exploit resources.

6. Socio-Cultural Differences

Socio-cultural differences between a host country and a multinational corporation are one of the major reasons of risk. In some countries social code of conduct sharply contrasts with those of MNCs and always creates fear to have a risk of offending local sensibilities over crucial socio-cultural issues. Basic behavioral norms followed by an MNC as a usual practice may prove offensive to the host country government or clientele for example, in western countries female executives representing in meetings and negotiations may offend officials and clients from Middle Eastern countries. Sometimes simple gestures like greetings, giving gift and hospitality can become serious issues and offend people and government. Prior to venturing into a new country an MNC need to do sufficient homework and adapt to local systems and culture to avoid cultural risk and political risk.

Circumstantial Causes of Political Risk

1. **Government Change**-Change of government in the host country is a major political risk faced by MNCs. In many country's political opponents will have different policy from those of the government in office and new changed government most of the times is keen on reversing the decisions and policies of the predecessors. Thus, an MNC in the good books of host government may find its assets under the threat of expropriation if there is a change in the government. Economic policies may also change with this change and the new government may be hostile towards an MNC if the firm is perceived as a supporter of its political opponents. Political risk is particularly high in countries that are in the midst of transition to a new system for example, from a capitalist system to a socialist system or vice versa. Political instability in many countries with instability of social and economic conditions of the host governments, it is sometimes difficult for the government to manage public discontent resulting out of the permission given to MNCs and governments in order to shift the blame for the economic ills, blame MNCs as a cause of those problems. Politicians in power often play on the inherent mistrust that the general public contains for the foreign economies and the foreign firms.

MNCs also face the risk of adverse political activity from the opposition parties who always look for issues and situations to criticize the government and, in the process, MNCs face the consequences. The host government's support for an MNC is used as an opportunity to criticize the government with an issue to manipulate nationalist feelings by propagating that MNCs are exploiting the country by misusing the resources and the government is biased and supporting MNCs instead of local firms. Socio-economic policy and environmental groups are also one of the causes of risk for MNCs in a foreign country. MNCs usually have large investments in factories and attractive industries which easily attract attention of consumer, labour groups and environmentalists and get attacked for causing pollution and not maintaining safety standards which could be a biased judgment when compared to the firms within the host countries. Such attacks sometimes evoke more active and serious penalty from the host governments.

Attitude of the host government many a times depends on the relationship and bilateral ties between the governments of the home and host countries. In several cases on the situation of breaking hostilities between two countries direct or indirect action is taken on MNC and their properties and investments were confiscated without compensation. For instance, when a country ban's some exports towards MNCs home country it may retaliate by blocking the repatriation of the profits earned by the MNCs.

2. **Local Vested Interest**-MNCs sometimes face adverse action from the lobbying efforts of local vested interests as a norm. MNCs enjoy the benefits of economies of scale and thus have competitive power and tend to introduce dynamic competitive force into local economies that upsets the entrenched position of local business organizations by capturing market share and reducing the profitability of the enterprises. An MNC is often able to expose the weakness of local business by providing superior quality product at relatively low price and often compel the local business organizations to improve the quality or succumb to the operating inefficiencies in a competitive market place. Some local business organizations accept the challenge and improve while others may not respond. Those who do not respond fight the intrusion by pressurizing the government to impose various forms of restrictions and taxes resulting in increase in the cost of goods produced by MNC and reduce its ability to compete.

Activity 2

1. Explain any two inherent causes of risk with examples.

.....

.....

.....

.....

.....

.....

7.5 RISK MANAGEMENT TECHNIQUES

While operating in the International markets, the firms need to manage risks to stay in the market and avoid unnecessary hassles. Some of these risk management techniques are discussed in this section.

1. **Rejecting Investment** - MNCs feel that the risks in countries with potential uncertainties are much higher than the returns and some of them do not want to invest and thus, reject the potential investment. Rejection may also occur because of disagreement in the terms and conditions between host country and MNCs. Sometimes the host country in order to attract MNC investment may relax some of the conditions.
2. **Long term Agreements** - MNCs find a way to reduce political risk by negotiating with the host governments and agreeing upon long term commitments. Negotiating with these safe-guards requires skill and foresight. A balance must be struck between achieving the safest possible terms for the firm and recognizing the current national policies of the host government. The limitation of these safeguards however, is that there is no practical way to enforce them in the event that the host government reneges on its part of contractual obligations. A government is less likely to take any adverse action once it's a legal binding through a legal agreement as compared to a situation in which it has not given any assurances.
3. **Lobbying** - MNCs many a times resort to lobbying politicians and officials and host governments to influence the direction of policies that affect them to avoid or reduce political risk arising out of the potential actions taken by the host government.

Direct lobbying is done by establishing a liaison or representative office in the capital city of the host government. The representative of the firm establishes contacts with local officials and politicians and lobbies them to maintain favorable policies for MNC. Sometimes local liaison agent is used to lobby with the government and local officials especially in countries with complex political and official structure which is difficult for the outsiders to understand. Indirect lobbying is favored by MNCs in countries where local officials are adverse to direct dealing with foreigners.

Lobbying can also take the form of influence buying, bribing the officials in the shaping of official policy and attitudes of the home government toward MNCs. Although many multinationals do not admit offering such bribes, for obvious reasons and is common in many countries.

4. **Legal Action** - In countries with efficient legal system and independent judiciary MNCs can resort to legal action if threatened. Recourse to the law would be warranted when a MNC is of the opinion that a new decision or regulation of the host government is illegal under the laws of the country or is in violation of any initial agreements made

with the government of the host government. Legal action however is only taken as a last resort when there is no other option and such actions are only taken by the firms that have decided to divest their investments in the host countries because bringing a legal suit against the host country government is likely to bring retaliation.

5. **Pressure for Home Country** - MNCs sometimes while facing adverse position taken by the host government seek intervention from their home governments generally through diplomatic channels. The foreign office of the home country generally exerts informal pressure on the government of the host country to change its attitude towards MNCs and make favorable policy decisions. If the issue is important the level of intervention can take place even at higher levels of the authorities like state head etc. Apart from general threat of deterioration of bilateral relations, home governments sometimes hold out thinly veiled threats of retaliation against the corporations of the host country in the jurisdiction of the home country or threaten to erect trade or other barriers. This method is effective in situations when relations with the MNCs home country are particularly important to the host country.
6. **Joint Ventures and Increased Shareholding** - Many MNCs decide to invest in host countries as joint ventures with local corporations and try to avail a high shareholding to be on the safer side and such ventures reduce political risk. Once MNC partner's with a local firm, decision against the MNC would also affect local partner. A local firm partnered with MNC supports the MNC in case of any government decision which will affect the MNC negatively. Local firms have contacts and better understanding of the business scenario in the country. MNCs partner with local firms in order to get local support against adverse government decisions. The partnered local firm will exert pressure restraining influence of the government contemplating such action. Local firms will also help the MNCs by using their contacts within the country at various levels of the officials and government that could be used for lobbying and solving internal problems on behalf of the MNCs. Host governments would take more indulgent approach to the MNC operating in joint venture because it would be perceived as sharing its profits and technical know-how with a local firm and the traditional exploitative image of MNC would be mitigated. Some firms go with the different route to achieve similar objectives by increasing the level of shareholding of a local partner instead of going with a joint venture.

There are instances where increase in local shareholding is effecting at the behest of the host government which imposes a condition for the continued operation in its jurisdiction. Increased local sharing will increase the benefits of the host country in many ways. The amount of repatriated profits to a foreign economy automatically reduces with the increase in shareholding of the local firm as the local shareholders receive their dividends in local currency and thus, saves forex of the

host country. The foreign exchange liability resulting out of share appreciation is also automatically curtailed. Larger the amount of local shareholding the policies and operations of the corporation are more open to government scrutiny and control.

7. **Promoting Host Goals** - MNCs many a times promote host country's objectives in order to gain the country's acceptance of its operations. For example, MNCs try to increase exports and maximize foreign exchange earnings. The action is strategic to impress the government of the host country as they tend to support an organization which is contributing to foreign exchange earnings of the economy. With the generation of export earnings by the MNC for the host economy it becomes fairly difficult for the host government to justify any adverse action against the firm as the drain on the foreign exchange resources is removed.
8. **Risk Insurance** - Some countries have agencies that offer insurance coverage against political risks faced by MNCs based in their countries for example, **Overseas Private Investment Corporation (OPIC)** a firm in United States guarantees protection against risks faced by MNCs in developing countries. OPIC provides coverage against various eventualities that can adversely affect the MNC in a host country such as expropriation, blocking of repatriation of funds by a host government and problems created by the breakdown of law and order.

The World Bank, in an effort to promote private investment in developing countries, has an agency that protects corporations that invest in such countries from different forms of political risk. This Agency, which began operation in 1989, is the Multilateral Investment Guarantee Agency (MIGA). Risk coverage through MIGA is intended to allay fears of political risk that prevent many MNCs from investing in developing countries, even if the latter are open to overseas investment.

9. **Contingency Planning** - Despite all the necessary efforts to mitigate risks and various methods adopted by firm and good relationship there might still be an element of political risk of nationalization, expropriation, or other forms of unacceptable regulatory control and imposition. To guard against such situations and eventualities most of the MNCs have contingency plan made when the investment is first made in the host country. For example, if a country is considered to be risky in terms of possible expropriation, firms try to reduce the value of their physical investment and rely more on the supply of expertise and know how that is paid on a short term basis. A country also may be considered dangerous because of technology leakage. In such a situation, the MNC would probably retain the know-how at its headquarters and supply intermediate products to its subsidiary for the final stages of processing or manufacturing.

Activity 3

1. Briefly explain how risk management techniques help in reducing risk.

.....

.....

.....

.....

.....

.....

7.6 SUMMARY

Investment in international business requires a cost benefits analysis of the benefits gained versus the risks encountered by the investing firm. Influencing the decision to expand internationally are the opportunities to tap larger markets, host-country regulations requiring local production, achieving economies of scale, competition, implementing quality controls, raw materials sourcing, forward integration to eliminate middlemen, and the acquisition of new types of technologies.

Counterbalancing these factors are the political risks MNCs face from unilateral actions or expropriation by host-country governments. Political risks increase when the MNC and the host country have different economic objectives or conflicting monetary and fiscal policies. Circumstantial political risks may occur when the host government changes and the policies of the preceding government are reversed, or when the current government facing political difficulties or social unrest must amend its prior policies to the detriment of the MNC.

Environmental Constraints in International Business Host governments may also impose a variety of national controls on MNCs' activities, including limitation on the repatriation of profits and dividends, efforts to curb transfer pricing, implementation of price controls, restrictions on foreign ownership, local staffing and management requirements, import content rules, and labor and social controls. Assessing political risk involves first assessing the riskiness of the host country as a place to conduct operations and then identifying the level of risk assumed by the MNC for making a particular investment. Political risk cannot be eliminated completely, but management techniques can help reduce the level of political risk. Such techniques include not investing in particular countries, establishing long-term agreements with host-country governments, lobbying, legal action where a well-developed legal system exists within the host country, obtaining political pressure and assistance from the MNC's home-country government, providing for local ownership or joint venturing, promoting host-government objectives, developing contingency plans, and purchasing insurance coverage for political risk.

7.7 KEY WORDS

Political Risk: Political risk is the risk an investment's returns could suffer as a result of political changes or instability in a country. Instability affecting investment returns could stem from a change in government, legislative bodies, other foreign policymakers or military control.

Economic Risk: is the chance that macroeconomic conditions like exchange rates, government regulation, or political stability will affect an investment, usually one in a foreign country.

Financial Risk: Financial risk is a term that can apply to businesses, government entities, the financial market as a whole, and the individual.

Business Risk: is the exposure a firm or organization has to factor(s) that will lower its profits or lead it to fail. Anything that threatens a firm's ability to meet its target or achieve its financial goals is called business risk

Socio-cultural Factors: are customs, lifestyles and values that characterize a society. More specifically, cultural aspects include aesthetics, education, language, law and politics, religion, social organizations, technology and material culture, values and attitudes.

Legal Action: A process to have a court of law settle an argument and plans on taking legal action against the firm.

Host Country: Foreign country where the firm invests in.

Home Country: Business organization actually belongs to a particular country which home for the business is called as home country.

7.8 SELF-ASSESSMENT QUESTIONS

1. Discuss the various factors that cause multinational firms to invest abroad.
2. What role does political risk assessment have in shaping an MNC's foreign investment decision?
3. Is political risk assessment an exact science that can be mitigated with careful planning? Explain.
4. Describe various methods governments use for controlling MNC operations.
5. Which of the following businesses are most and least vulnerable to expropriation? State with suitable justification.
 - Agriculture
 - Automobile manufacturing
 - Mining
 - Accounting
 - Heavy equipment manufacturing
 - Hotels
 - Restaurants

- Oil fields
- Personal electronic goods manufacturing
- Banks

6. Identify techniques that MNCs use to manage various types of risks in a country.

7.9 REFERENCES / FURTHER READINGS

Carol Alexander , Market Risk Analysis (Practical Financial Econometrics), Wiley, 2008

Edward A. McBean, Risk Assessment (Procedures and Protocols), Wiley, 2018

Dowd Kevin K, Measuring Market Risk, Wiley, 2005

Simon Hubbert, Essential Mathematics for Market Risk Management, Wiley, 2011

Christian Szylar, Handbook of Market Risk, Wiley, 2013

ignou
THE PEOPLE'S
UNIVERSITY

UNIT 8 ENTRY INTO THE INTERNATIONAL MARKETS

Objectives

After studying this unit you should be able to:

- understand the complications of international trade;
- understand the methods of entry into international trade;
- identify a suitable international trade entering method for a firm based on certain parameters suggested; and
- discuss the role of government in establishing trade policy and providing the environment that restrict and support international trade.

Structure

- 8.1 Introduction
- 8.2 Entry Strategies
- 8.3 Government Involvement in Trade Restrictions and Incentives
- 8.4 Summary
- 8.5 Key Words
- 8.6 Self-Assessment Questions
- 8.7 References/Further Readings

8.1 INTRODUCTION

A growing business wants to look for potential market and explore new markets, locate supporting resources and supplies of raw materials and labor, raise required capital, explore availability of skilled manpower and hire personnel, develop a marketing plan, establish distribution channel and identify retail outlets. Management must establish controls and feedback systems as well as accounting, finance and personnel functions as an overlay upon this comprehensive system.

Budding international business firm is not only contended with establishing an international element to add to domestic operations but also understands the fact that international business has a significant involvement of environmental factors that differ from their own in all aspects- cultures, economies, government policies and political systems.

Business enterprises need huge investments of time, energy and personnel at domestic level and venturing into international boundaries intensifies the number of steps essential at the firm's length and breadth and its reach, effort and activity. Each establishment in international business requires international components and separate and discrete units. It is more likely that domestic firm enters foreign market in a progressive way beginning with exporting, which is less risky and needs less foreign investment. Subsequently the firm once it gets confident with the business opportunities

in the foreign country slowly increase its investments with new and extended forms of foreign investments viz., franchising, joint venture direct investment etc. Prior to taking decisions on international business, the firm must evaluate its resources like personnel, assets, experience in overseas markets and the suitability and demand for the product in those markets. A firm must also evaluate the level of control necessary to manage overseas operations. These must be reviewed in the light of competition expected in markets abroad and availability of business opportunities created by international operations.

8.2 ENTRY STRATEGIES

There are various entry strategies through which the firms can enter international trade. These are:

1. **Export Based Entry** - Exporting is a very popular and beginners' method of internationalization and international trade. It requires low amount of a firm's involvement in terms of the need of firm's allocation of resources to serve overseas market. In this method firm uses its domestic market for production distribution and administration and a portion of the produce is marketed abroad. In other words, the producer produces the goods in home country and through various modes of transport i.e. air, ship, rail, truck and pipelines laid across the border, sells it to other countries. For initiating this method of foreign trade, a firm looks for an opportunity for the products and services abroad and decides to be either a direct or indirect exporter.
 - a) **Direct Exporting** - Means a producer or supplier directly sells goods and services in an international market through a directly managed channel (distributors, foreign retailers and other intermediaries, sales representatives or directly selling to the end user).
 - b) **Indirect Exporting** - Indirect exporting means selling of the product to an intermediary usually a third party who in turn sells either to customers or sells it's to importing wholesalers. The easiest and low risk and effort method of indirect exporting is to sell products to an intermediary in the home country and that intermediary specializes in exports thus takes the responsibility of selling the produce in the foreign countries. This method relieves the producer from the hassles of internationalization especially payments and logistics.

The advantages and disadvantages of the exporting are highlighted in Table 8.1.

Table 8.1: Advantages and Disadvantages of Exporting

Advantages	Disadvantages
➤ Low risk as the allocation of resources and factors of production are not allocated to the foreign country. ➤ Increases sales and reduce inventories. ➤ Exporter is not involved in the foreign operating environment factors pertaining to the foreign country. ➤ Exporting provides easy way to identify market potential and establish brand name in the foreign country. ➤ Provides easy access to exit and stop exporting if the product has low demand in the foreign country and the venture is unprofitable with low loss in capital investment.	➤ Per Unit cost of exporting may be high as a result of lack of understanding of the costs of fees commissions, export duties, taxes and transportation. ➤ May lead to less than optimal market penetration because of inappropriate packaging or promotion. ➤ Exported good may lack specific overseas market requirement. ➤ Difficulty in keeping track of changes in the business environment factors. ➤ Firm may have problem maintaining market share and contacts because of distance. ➤ Possibility of loss of market share if the local firm copies the products or services offered by the exporter. ➤ The exporting firm might face restrictions against its products from the host country.

The problems or disadvantages can be addressed by

- i) Establishing direct exporting capability by establishing a sales firm within the foreign market to handle the technical aspects of export trading and keep abreast of market developments, demand and competition.
- ii) Firms may choose to expand their operations in foreign countries to include other forms of investments.

2. Non-Equity Based Entry

Licensing- licensing is a method of internationalizing through which a firm (licensee) gets from the licensor some type of intangible rights which could be rights to a process, patent, program, trademark, copyright or expertise.

The advantages and disadvantages of licensing are discussed in Table 8.2.

Table 8.2: Advantages and Disadvantages of Licensing

Advantages	Disadvantages
➤ Licensor receives profits in addition to the profits generated from operations in domestic markets. ➤ These profits may be additional revenues from a single process used at the home country but not effectively utilized in a foreign country. ➤ Can provide additional profits than those generated from the operations in the domestic markets which may be additional revenues from single process or method. ➤ This process benefits by providing an extended life cycle to the firm's product which sometimes gets saturated in the home country.	➤ Might limit future profit opportunities associated with the property by tying up its rights for an extended period. ➤ The firm might lose control over the quality of its products and processes or use or misuse of the assets and protection of the reputation of the licensor firm. ➤ Agreement between licensor and the licensee should be clear in terms of appropriate use of processes method or name of the licensor as the allowable market and re-export parameters for the licensee. The contract should also stipulate contingencies and recourse should the licensor or licensee fail to comply with its terms.

Franchising - Franchising is similar to licensing but in franchising other than granting permission to use the name, trademark and process of the franchisor the franchisee also gets assistance with the operations or supply of raw materials from the franchisor. In this agreement between franchisor and the franchisee there is a larger degree of control when compared to licensing agreements. The franchisee pays an initial fee and a proportion of share of profit to the franchising firm. This method works on the mutual understanding of profit sharing between the franchisee and franchisor.

The Advantages and Disadvantages of Franchising are:

Advantages	Disadvantages
Increased revenues and expansion of its brand, name, identification and market reach.	Assuring quality and operating standards might be difficult and result in loss or brand image.

The franchising contract should be carefully designed and provide recourse for the franchising firm clearly indicating the legal course of action if the franchisee does not comply with the terms and conditions of the agreement.

Contract Manufacturing

Contract manufacturing is also one of the methods firms use to enter into a foreign country. As part of this contract MNC firms enter into contracts with local firms to provide manufacturing services. This arrangement is akin to vertical integration with the firms. MNCs subcontract the production instead of establishing its own production locations. MNC sometimes enters into a full production contract with the local plant which produces goods to be

sold under the name of the original manufacturer and another method of entering into such contracts is by providing partial manufacturing services for example, assembly work or production of spare parts.

Table 8.3: Advantages and Disadvantages of Contract Manufacturing

Advantages	Disadvantages
Expanding the supply or production expertise of the contracting firm at minimum cost.	The firm entering into contract may also forgo some degree of control over the production and supply timetable when it contracts with a local firm to provide specific services.
MNCs can enter into vertical diversification without a full-scale commitment of resources and personnel.	

Management Contracts

Management contracts are methods in which firm agrees to rent its expertise or know-how to government or firm in the form of personnel who enter the foreign environment and run the concern. This method of involvement in foreign markets is used with a new business facility after expropriation of a concern by a national government or when an operation is in trouble. Management contracts are frequently used in concern with turnkey operations. Under these agreements firms provide services of overseeing all details in the startup facilities including design construction and operation. These projects are large scale projects for instance, production plants or utility constructions. The problems faced by the turnkey contracts is often the time period or duration of the contract yielding long pay out schedules and carries greater risk of foreign exchange fluctuation.

Direct Investment

Direct investment means a firm investing directly through real commitment of resources viz., capital and personnel and assets in the foreign land beyond domestic borders. This investment provides greater control of costs and operations and improves profitability. The only factor of risk in such investment is the business environment factors prevailing in the foreign land. Direct investment as an international activity runs a continuum from joint ventures to wholly owned subsidiary. These methods are high in terms of rewards and also high in terms of risks involved.

Multinational firms prefer to make direct investment because of the following reasons:

- a) To gain access to enlarged market.
- b) To take advantage of cost differentials arising from cheaper sources of factors of production i.e., land, labour and capital available in the foreign market. These reasons help in increasing the profitability of the firm.
- c) To counter strategic moves of the competitors or to follow a market leader in new markets.

Strategic Alliances or Joint Ventures

Joint ventures are also strategic alliances in which two or more firms or entities join together to establish some sort of business operation. Strategic alliances may be formed by two partners. It can be between two MNCs, one MNC and a local business person or MNC and government. If there are two or more participants in the deal the relationship can also be called as consortium operation. Parties in the joint venture contribute equity, capital or assets. Percentage of ownership depends on the contribution of the capital. Some countries stipulate the relative amount of ownership allowable to foreign firms in joint ventures.

Table 8.4: Advantages and Disadvantages of Strategic Alliance

Advantages	Disadvantages
➤ Opportunity to increase growth and access to new markets while avoiding excessive tariffs and taxes associated with importing products.	➤ Limits on profit repatriation to the parent firm as it is sometimes restricted by the host countries.
➤ Joining forces with local businesses often neutralizes local existing and potential competition and protects the firm against business environmental risks.	➤ Successful joint venture operations are becoming an inviting target for nationalization.
➤ Easier to raise capital.	➤ MNC may have the capability of achieving profitability and growth in shorter time frame than the local partner who might be more concerned about long profitability and providing employment opportunities.
➤ Host government sometimes provides tax benefits to encourage foreign firm's joint ventures.	➤ There might be mismatch of business objectives between the two firms entering into joint venture.
➤ Risks shared by partners, thus joint ventures are relatively low risk operations.	➤ Lack of complete control on the operations remains a predominant problem.

A complete control over operations, decision making and profits can only be established by wholly owned subsidiary on the foreign soil.

Wholly Owned Subsidiaries

A firm retains total control of its marketing, pricing, production, decisions and can maintain greater security over its technological assets by establishing

its own foreign arm. Firm is also entitled for cent percent profits generated by the enterprise but also bears all the risks involved in the business like expropriation limits on profits being repatriated and locally operating government policies rules and regulation. In establishing and entering into a new international market the firm can choose one of the routes explained below.

- i) Acquiring an ongoing operation.
- ii) Start a completely new firm from the scratch (Green field strategy)
-This method can be used if no suitable facilities are found to be acquired or if the firm has special requirements of facilities.
- iii) Buying a new firm known (Brownfield strategy) having the advantage of avoiding startup costs of capital and time lag and is often faster and easier to at local levels and is cheaper than building a new firm from the scratch. Buying also has the advantages or not adding to a country's existing capacity and improving goodwill with the host country nationals.

Globalized Operations

Consumers around the world are increasingly similar in their goals and requirements of product attributes and products resulting in the world moving towards a global market with standardized products across countries and all cultures. Increasing demand for the products results in low cost of manufacture as an outcome of economies of scale. Such firms are characterized by globalized operations as distinct from multinationals, firms with globalized operations are capable of taking business opportunities across the world and constrained to specific sectors for example, PepsiCo, Coca Cola, and Levis Strauss etc. ranging from consumer goods to fast food.

Portfolio Investments

Portfolio Investments do not need the physical presence of a firm's personnel or products in a foreign country. These investments can be in the form of securities, Notes, bonds, Commercial paper, and non-controlling stock certificates of deposits or investments through foreign bank accounts or lending through foreign bank loans. Investors invest in foreign economies to achieve higher rates of return, avoid political risks in the home country or speculate in the foreign exchange market.

Consortia, Keiretsu and Chaebol

Consortia is a business strategy to create a sizeable interlocking relationship between firms in an industry. This strategy enhances the competitive advantage of the firms in understanding.

Keiretsu is a coalition of many firms controlled by a dominant central firm aimed at minimizing the competitive risk through cost sharing and economies of scale.

Chaebol is largely applicable to Korean consortia financed by government in order to gain competitive and strategic benefits.

Activity 1

1. Briefly describe licensing and its advantages and disadvantages.

.....

.....

.....

.....

.....

2. Explain franchising with examples.

.....

.....

.....

.....

.....

8.3 GOVERNMENT INVOLVEMENT IN TRADE RESTRICTIONS AND INCENTIVES

Governments in most of the countries do restrict or support international trade or transfer of resources to foreign countries. Intervention of this kind may take the form of controlling the flow of trade and transfer of goods and also there may be a control on the transfer of capital flows or controlling the movement of personnel and technology. Rationale for intervention may vary from country to country and government to government and fall into several patterns. Government is motivated by economic situation and interests of the people such as revenue, currency rates, economic and monetary considerations along with geographic and demographic competency levels of the country are the major factors which contribute to policies of various countries on foreign trade. Specific concerns in the country like health and safety considerations or full employment objectives also play an important role in the foreign trade Policy. The list of interventions is given below.

Protectionism –Refers to government intervention in order to protect some specific industries in the economy. But protectionism need to be interpreted as protecting inefficient and incompetent industries which are not competitive in foreign market, instead the industry should make structural changes to enhance its efficiency. Rationale for this intervention is-

- a) Protect industry to ensure full employment opportunity imports and relying more on domestic production which results in creation of jobs.
- b) Protect infant industry pertinent in underdeveloped and less developed economies. And justifying this protection stating that infant industries cannot compete with established large industry thus they need some protection.
- c) Protecting specific industries is a part of the government's industrial policy decision in order to promote specific sectors in the economy for diversifying the economic structure. Protection is usually given to the sectors which are beneficial for the economy, earn foreign exchange and yield higher marginal returns.

- d) Rationale of protectionism is more based on emotional arguments than economic.

Protectionism leads to higher prices for consumer for imported products and components and may lead to retaliation by importing countries and affect the exports of the country. It may result in increased opportunity costs by allocating the resources of a country inappropriately at the expense of other sectors.

Method of Government Intervention

- a) Application of tariffs to exports or imports.
d) Application of Non-tariff Barriers.

1. **Tariffs** -Tariffs or duties are a basic method of governmental intervention in trade used to protect industries by increasing the price of imports in order to make imported products costlier than the domestic products. Tariffs may be placed on exports as well as imports in the form of duties and are most typical control mechanism on international trade.

Tariffs are assessed in three different ways.

- **Ad valorem duties**- Levied as percentage on the value of goods.
- **Specific Duties** - Assessed on the physical unit of measurement for example, duties imposed per ton metric or any such fixed unit.
- **Compound Tariff** - Is a combination of Ad valorem and specific duties.

2. **Non-Tariff Barriers**- Non- tariff barriers are a matter of concern and controversial topic in trade activity over the past decade because they are not traditional method of discouraging imports through the application of duties. They work towards reducing the pace of flow of goods into a country by enhancing physical and administration difficulties. Non trade barriers take number of forms that provide effective trade restraints.

- Discrimination by government against foreign suppliers in bidding procedures.
- Rigorous customs and country entry procedures.
- Excessive and severe laid down standard inspection procedures.
- Elaborate safety specifications and domestic testing requirements.
- Laid down required percentages of domestic material content.

Some countries tend to restrict and regulate products which they feel is harmful to the citizens of the country for example, Canada has a strict entry restriction for tobacco products on to the country. India's policy does not easily permit Alcohol manufacturing and high import duties on some specific luxury goods like automobiles.

Quotas

Countries impose quotas to restrict quantity volume or value-based imports. These quotas may be unilateral according to the commodity and a stipulated amount of aggregate import is permitted from any source or country. Alternatively the government of a country may decide and be selective on regional basis.

A type of quota is an embargo which prohibits all types of trade between countries and voluntary entry restriction is another type encountered in recent trade history in which countries agree to restrict their exports to a country, but are forced into compliance through the use of direct or subtle political pressure from major trading partners. Imposition of quotas is to restrict inflow of certain commodities into the country which often leads to higher import prices.

Activity 2

1. Briefly explain methods of government intervention in foreign trade.

.....

.....

.....

.....

.....

2. How does government involvement affect trade?

.....

.....

.....

.....

.....

8.4 SUMMARY

Basic functional and operational activities in international business are same as domestic business. The difference is across boundaries operations encounters different economies, cultures, legal systems, governments and languages which must be integrated into business policies and practices. Entry and expansion of a firm may necessitate entry into international trade. Entry into international business varies among continuum ranging from basic entry levels like exporting to the rest like licensing, franchising, contract manufacturing, direct investment, joint ventures, wholly owned subsidiaries, globalized operations, and portfolio investments in a continuum. Some countries have low risk and give lots of support to international enterprisers and others have dismal interest and policy support. Governments in the host country play a crucial role in deciding either to restrict or support international business. Often international business policy of a government is in alignment with monetary and economic goal along with maintenance of national security, improve health, safety and employment level or support specific political objectives. Protectionism, tariffs non-tariff barriers and government interventions are the methods of restricting international trade.

8.5 KEY WORDS

International Business: A cross boarder transaction between individuals, business or boarder entities for anything such as goods, services, technology, knowledge, etc.

Licensing: A licensor (i.e. the firm with the technology or brand) can provide their products, services, brand and/or technology to a licensee via an agreement. This agreement will describe the terms of the strategic alliance, allowing the licensor affordable and low risk entry to a foreign market while the licensee can gain access to the competitive advantages and unique assets of another firm.

Franchising: Parent firm gives right to other firms to carry on business in its name.

Outsourcing and Off-shoring: Giving contracts to international firms for certain business purpose.

Multinational Firms (MNCs): The firms that are conducting business in more than one country.

Foreign Direct Investment (FDI): Investment made by an individual or a firm located in one country to the business interest located in another foreign country.

Investing directly into production in a country by a firm located in another country either by buying a firm in the target country or by expanding operations of an existing business in that country.

Franchisee: A holder of a franchise, a person who is granted a franchise.

Franchisor: A firm or person who grants franchises.

Franchising: is a business set up in which an organization (The franchiser) has the option to grant entrepreneurial rights to a local firm (Franchisee) to access its brand, trademarks and products for value.

Barter: Exchange of goods and services without involving currency.

Counter Purchase: Sale of goods and services to one firm in another country by a firm that promises to make future purchase of a specific product from the same firm in that country.

Switch Trading: Practice in which one firm sells to another firm to fulfill the obligation made to make purchase in a given country.

Joint Venture: A cooperative partnership between two individuals or businesses in which profits and risks are shared.

Contract Manufacturing: Is a business model in which firm hires a contract manufacture to produce components or final products based on the hiring firms design.

Exporting: The sale of capital goods and services across international borders or territories or in other words, act of selling to a foreign country.

Brownfield Strategy: The entering of a foreign market via the purchase of an existing firm.

Foreign Exchange: Transactions involving the exchange of one currency for another.

8.6 SELF- ASSESSMENT QUESTIONS

1. Explain the suitability of a corporation to go international through joint venture approach rather than a wholly subsidiary approach. Give a suitable example.
2. How can foreign direct investment benefit or cause harm to an economy receiving it. Discuss.
3. Discuss the methods used by the governments to protect their domestic business environment.
4. Describe various factors considered by a firm to conduct business internationally.
5. Prescribe suitable method for going international with proper justification for the following sectors.
 - a) An automobile manufacturer
 - b) A software developer
 - c) An oil exploration-production firm
 - d) An electrical power plant builder
 - e) A farmer with a large surplus of wheat
 - f) A restaurant operator with a new barbecued ribs recipe.

8.7 REFERENCES/ FURTHER READINGS

1. Parvez N Ghauri and Jean Chaude Usunier, International Business and management ELSEVIER Ltd The Boulevard, Langford Lane Kidlington, Oxford OX5 1GB, UK.
2. Riad Ajami et al. International Business theory and Practice, ME Sharpe Armonk, Newyork

Weblinks

<https://yourbusiness.azcentral.com/political-financial-economic-risks-international-business-17322.html>

<https://www.coursehero.com/file/pljuctu/Consortia-Keiretsus-and-Chaebols-Consortia-is-a-strategy-to-create-a-sizeable/>